

1114L

Management Studies Tripos

**ELECTIVE MODULE
COURSEWORK**

MSENW

Negotiations Workshop

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(Word count limit as advised by course leader)

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This report will reflect upon the three exercises I was able to attend: Salt Harbour, MedLee and Harborco. I will reflect on my thoughts and feelings during these negotiations, with a focus on how my behaviour can be explained by concepts I have explored through further reading. This should lead into further questions and hypotheses I have in these areas.

Salt Harbour Negotiation – Brims

In the Salt Harbour negotiation, I took the role of Brims. In my briefing, I was informed Brims had an 80% chance of success if the case went to court, but that in this situation we would be unable to open the store. I relayed the former to my counterparty, but not the latter; I emphasised my strong probability of success, but stated it was in both of our interests to settle out of court, thereby avoiding 'wasted' time and legal fees. Revealing part of my preferences served two purposes. First, I thought this would set a co-operative precedent, rather than a competitive one; agreeing on something trivial could be a good way to build rapport without giving concessions, or revealing much information (Voss, 2016).

However, by emphasising the 80% figure, and concealing the damage going to court would have for Brims, I intended to make my counterpart believe my walk-away prospects were much stronger than his. I hoped this would create a power dynamic that I could exploit to negotiate towards the 'aspirational' price I had set, rather than my lower bound 'walk-away' price. Upon reflection, this strategy fits with Blau's (1964) power dependence theory, which was built upon by Pinkley (1994), who found that walkaway prospects, or BATNAs, are a key source of power. I had set a walk-away price of \$125,000 and an aspirational price of \$170,000. My walk-away price had to be over \$110,000 (Brims' total investment into the land), and \$125,000 was the estimated value of the land as a residential lot, i.e. if offered less than \$125,000, we would rather sell on the market.

My counterpart made the first offer, which I accepted as it met my aspirational price. During our feedback, I informed my counterpart I thought his initial offer was too generous. Anchoring may have played a role here, with his expectations being anchored to the \$350,000 value Easterly placed on the land, and perhaps not exploring Brims' position enough to understand the additional value he could extract, i.e. offering as low as \$125,000, my walk-away price. The general rule is that in distributive negotiations the party offering first gains a first-mover advantage due to the anchoring heuristic, whereby their offer creates a reference point from which there is insufficient adjustment (Ritov, 1996). However this example highlights Maaravi and Levy's (2017) caveat to this rule, namely that distributive negotiations with information asymmetry can create a first-mover disadvantage. The authors therefore propose a context-dependant model for moving first versus moving second, based on information distribution. In situations of information asymmetry, I wonder whether the best strategy is to (a) seek to reduce the asymmetry through hypothesising, asking questions, sharing information or (b) simply wait for your counterpart to make the first offer.

Neale and Fragale point out that uncertainty remains even after the negotiation, when evaluating one's performance. A lack of sufficient evidence will cause our perception of our performance (Barry, 1994), rather than our objective performance, to determine our evaluation. This perception arises through intrapersonal and interpersonal comparisons. Focusing on internal interpersonal comparisons, our perceptions of our gain relative to our counterpart's are more important than our own performance (Loewenstein, 1989). Thompson (1995) explores this, and finds a tendency to use the emotions of our counterparts to proxy our relative outcome; a disappointed counterpart makes us feel happier and evaluate our performance more favourably, and vice-versa.

Reflecting on this negotiation, I did not fit with Thompson's hypothesis –my counterpart's obvious satisfaction with the outcome did not detract from my favourable evaluation of my own performance. There are several factors which may have created this anomaly. First, receiving my aspirational price probably capped the degree to which I could feel disappointed, regardless of how happy my counterpart was. More interestingly, I think the nature of our negotiation was important. My counterpart tended to use persuasion through emotion, rather than persuasion through rationality; there was no hard bargaining, and the whole process felt good-natured and amicable.

Brett and Gelfand distinguish between the two methods of persuasion as "Non-Western" and "Western" approaches, respectively. I wonder if this emotional, co-operative approach can create goodwill, thus causing our performance evaluations actually being positively correlated to our counterpart's happiness. Of course, this is provided we are at or near to our aspirational price (and therefore feel we have ended up with a large enough piece of the pie). A related question is whether Thompson's (1995) finding holds in non-Western cultures to the same extent as in Western cultures.

MedLee Negotiation – TS LEE

In the MedLee negotiation, I took on the role of Lee. My satisfaction with our negotiated agreement for each dimension tended to be positively correlated to my counterpart's disappointment. This fits with Thompson's (1995) finding, and thus contradicts my previous experience in Salt Harbour. Reflecting, I think this difference supports my hypothesis that negotiation style can shape the relationship between our counterpart's emotions and our satisfaction with our performance. In this exercise, my counterpart used persuasion through rationality rather than emotion. In some situations this induced me to defend my position, even where counterintuitive, as I felt this would protect my pride and authority moving forward. These factors contributed to the relationship between my evaluation of my own performance and my counterpart's displayed emotions.

A more straightforward point is made by Carnevale (1986): a negotiator's mood can affect their ability to find integrative gains. Shortly before this exercise I had several significant deadlines. In hindsight, this had likely drained my cognitive resources in comparison to the previous exercises. Neale and Fragale point out that available cognitive resources are the key determinant of whether uncertainty in the negotiation leads to heuristic processing, which is susceptible to biases, or systemic processing, which leads to integrative gains (Anderson, 2004). Dijker (1996) finds that where cognitive resources are scarce, negotiators are more prone to using heuristic processing to simplify uncertainties; this applied to me in this negotiation.

This, coupled with the hard bargaining that developed, limited my ability to find integrative gains in this exercise by increasing my susceptibility to the false consensus effect. This is the tendency for negotiators to assume their counterparts have equally weighted and oppositely valenced preferences for each issue being negotiated (Ross, 1977). This leaves no room for integrative, mutually beneficial agreements, where some might be found if we could uncover that this assumption was unsubstantiated. For example, Professor De Rond pointed out that the counterpart is most likely to care about decision-making and conflict resolution, whilst my principal is most likely to be concerned with staffing and access to profits.

Throughout this exercise, my chief strategy was to exploit the multi-variable nature of the negotiation. I sought to attain a surplus which was at or above my aspirational target where this appeared feasible. If I could do so, I had obtained 'slack', or leeway, which I then made concessions with to achieve my desired outcome in other areas in which I was at a disadvantage. Here, a disadvantage typically meant I felt my counterpart had a stronger rational argument to move the agreement closer to his starting

position. This strategy was mildly successful, and acted as a mechanism to smooth my satisfaction across the different elements of the negotiation and achieve an acceptable outcome in each.

The effectiveness of this strategy was attenuated by the false consensus effect I experienced; paying closer attention to the variables which were most important to each principle would have better directed the level at which I set my lower bounds and aspirational value, as well as my decision on which to use as my point of reference. This would in turn probably have allowed this strategy to feel less aggressive to my opponent, thus in turn avoiding the movement toward a zero-sum game.

The lessons I have learned from this exercise can be summarised into two main points:

- It can be beneficial to know the agent you will be negotiating with in advance, as the preferences of their principal will likely be expressed differently based on their own desires.
- Cultural differences may exacerbate the missed integrative gains when we fall victim to the false consensus effect, as there is a stronger possibility of parties having different priorities.

Harborco Negotiation – Other Ports

The Harborco exercise was a multilateral negotiation, containing a wider variety of interests than the previous exercises, and in turn a wider variety of variables requiring discussion.

Mnookin (2003) explains that the relevance of Pareto efficiency in negotiations; when parties find and exploit all integrative agreements (maximising the size of the pie) and distribute the gains between themselves, Pareto efficiency is achieved. Once the pie is maximised, the only way for party A to improve its position is by consuming some of party B's slice. In a multilateral negotiation, this condition can only be guaranteed through a unanimity rule. This prevents any party being bound to an agreement worse than their BATNA, i.e. the status quo. However, Mnookin (2003) highlights the risk of the 'hold-out' problem this creates; if each party knows an agreement cannot be reached without their consent, each can credibly threaten to veto a majority agreement unless given a larger slice. This distributive haggling increases the transaction costs of the negotiation, to the point where negotiations are likely to break down.

Hence a consensus rule is normally applied in multi-lateral negotiations; majority, but not unanimous agreement is required. In Harborco, the consensus rule was that five of the six parties must agree, one of whom must be Harborco. In other words, Harborco has veto power, and one of the six parties can effectively be 'cut out' of the deal if necessary. This incentivises coalitions, especially amongst weaker parties seeking to protect themselves from being cut out of the deal.

As I was 'other ports', the best possible outcome for me was 'no agreement', followed by full compensation. The degree of compensation was by far the most important factor to other ports. I decided to attempt to form a coalition with the environmentalist, as I believed they would also have some preference, though maybe not as strong, for no deal to be reached. As it turns out, this belief was correct; no deal was the environmentalist's 'walk-away price', but they were aiming to surpass this.

This made me uncertain about how much of my preferences to reveal to the environmentalist; revealing that I had a much stronger incentive to 'sabotage' the deal could reduce the stability of our coalition. If I acted rationally, seeking to maximise my pay-off, the collective action of our coalition would cap the environmentalist's pay-off and they might therefore be enticed to leave the coalition if offered a higher pay-off. On the other hand, I did not want to deceive the environmentalist by

disguising my preferences, as I was not confident in my ability to stand up to scrutiny from them or other members, i.e. I did not feel I would be able to lie convincingly.

The environmentalist was eventually enticed to leave the coalition when the majority group offered to modify the deal in a way which gave them a comfortably higher pay-off than in the 'no deal' situation. Thus, they were able to extract more value by leaving the coalition.

Ultimately, the coalition was limited in its strength as our interests were not too closely aligned, which meant there was asymmetry in terms of commitment to the coalition. Further, there was no 'sunk cost', aside from a sense of duty or morality, to deter defection. This led me to think about whether parties can create mechanisms to increase the security of their coalition, thus reducing the risk of one party from abandoning the coalition after being enticed by the rest of the parties. For example, Baron et al. (2017) conclude that utilising public or private communication results in coalitions occurring more frequently and lasting longer. Further, I wonder if the possibility to compensate the other party in the coalition could offset the weakening effect of some interest misalignment. For example, applying the Kaldor-Hicks principle, I were able to achieve full compensation of \$600m, perhaps providing a portion of this to the environmentalist, in exchange for their support, could be an effective way to (a) deliver more value to them than they could achieve on their own and thus (b) strengthen our coalition to achieve a higher collective pay-off.

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